TELLICO VILLAGE POA
OBJECTIVE OBSERVER REPORT

Town Hall (September 14, 2026) & Board Meeting (September 16, 2026)

EXECUTIVE SUMMARY

The September 2026 meetings were operationally efficient and substantively light — the shortest board meeting of the year at approximately 100 minutes, with three unanimous capital votes and one 5-2 vote to establish a water/sewer rate ad hoc committee. The Kahite entrance fence replacement was approved 5-0-1 (Lackey abstaining for conflict of interest) at $250,000 from general reserves, following an exemplary presentation by Ed Grollemond that documented 28 years of deferred maintenance, two rounds of RFPs, and eight vendor site meetings. Claude Thorn made a significant public claim: that Troon has already delivered "recognized savings in excess of our one-year contract fee" in five months, asserting the engagement is effectively "zero cost." CFO Bedford confirmed Troon year-to-date invoicing at approximately $133,000-$134,000 through July, with a fixed component (Thorn's salary) and variable consulting/travel charges. The food and beverage benchmarking presentation at the town hall was the most data-rich operational analysis delivered in this series, showing Tellico Village outperforming peer communities on labor cost (49.5% vs. 77% median), cost of sales (38.3% vs. 45% median), and assessment subsidy allocation (4.8% vs. 15% median). The Tanasi Waterfront Dining restaurant has generated approximately $190,000 in revenue since its August 27 opening, averaging over $10,000 per day with no drop-off at other restaurants. The balanced scorecard was notably absent — Joel Reed announced it was not ready for this meeting due to "several necessary modifications," deferring it to the website. The Highway Advisory Committee received its most substantive discussion yet, with member Deb Marshall delivering a formal request for a board determination — and Lackey publicly accepting responsibility for the delay: "That's on me. I apologize." The water/sewer rate ad hoc committee was approved 5-2 over Carla Johnson's renewed objection about advisory committee bypass and Ed Grollemond's concern about the team's lack of prior rate-study experience. A significant new infrastructure issue emerged: the main village groundwater storage tank has developed a leak requiring draining, inspection, and likely relining — but Lackey framed it as manageable, representing only 9% of total storage capacity against a TDEC requirement of one day's supply (the village maintains approximately five days' worth).

GENUINE POSITIVES

- **The Kahite fence presentation was the most thorough capital request in this series.** Grollemond's committee measured every post and span, conducted two rounds of RFPs with eight-plus vendor site meetings, evaluated six design options with itemized pricing, documented that 70% of the existing fence sits on Monroe County easement (not POA property), and presented a clear recommendation with cost-benefit rationale. The committee incorporated feedback from the board workshop, PSAC, FAC, and golf course maintenance staff — adjusting lighting direction, rail attachment method, and entrance post height based on input received. This is the standard all capital requests should meet. [Board Meeting ~1:08:12–1:20:12]
- **Lackey's conflict-of-interest abstention on the fence vote was proper governance.** His explanation — "I had a business relationship with a couple of the vendors" — and his choice to abstain rather than vote yes on a popular measure demonstrates the kind of self-policing the community should expect. [Board Meeting ~1:20:45–1:20:52]
- **The food and beverage benchmarking data provides the community with its first objective performance baseline.** Claude Thorn's presentation, based on the Real Foods deep dive, showed Tellico Village outperforming peer communities across every measured category: labor at 49.5% of revenue vs. 77% median; cost of sales at 38.3% vs. 45% median; beverage cost at 26% vs. 33.4% median; assessment subsidy allocation at 4.8% vs. 15% median. The blended-model strategy — running Yacht Club and Tanasi as event/profit centers while maintaining Toqua and Kahite as value-oriented subsidized venues — is analytically sound and clearly articulated. [Town Hall ~1:09:40–1:28:31]
- **Tanasi Waterfront Dining's opening performance is exceptional.** $190,000 in revenue since August 27, averaging over $10,000/day, with no revenue decline at other restaurants. Christine Martinez's 4.6 Resi rating from nearly 5,000 diners, combined with her tracking granularity (monitoring 4% daily variance against Tennessee game-day effects), demonstrates operational discipline. The QR-code ordering system that prints directly to the kitchen (bypassing server intermediation) is a genuine technology improvement over industry standard. [Town Hall ~1:44:49–2:01:22]
- **The IT Advisory Committee's technology survey produced actionable results.** 823 responses identified clear priorities: real-time alerts, single sign-on, community calendar integration, and mobile access. Larry Blakeman's presentation was well-organized and candid about the RFP process (seven vendors contacted, three responded, two advanced to all-day evaluation sessions). Ed Grollemond's observation that separating water/sewer systems from amenity software may actually enable better solutions for both was an important strategic insight. [Town Hall ~32:42–52:24]
- **Matt Benoit's capital presentations continue to demonstrate operational competence.** The street patching request ($88,311) included detailed square-yard calculations by neighborhood, historical cost comparisons ($97.68/yd in 2025 vs. $110.81/yd in 2026), and context within the total $1.8M road budget (remaining

$141,740 under budget after approval). The Chota Recreation Center HVAC return air analysis evaluated four alternatives (big-fan, reheat, dehumidifier, additional return) with specific operational reasons for rejecting each before recommending the most cost-effective solution. The fire hydrant relocation included permit history, regulatory constraints (6-inch main minimum), and cost context for why broader hydrant relocation is impractical ($250-300/foot for main replacement). [Board Meeting ~1:21:36–1:48:40]

- **Rick Dramm's county commission update continues to deliver tangible constituent service.** His advocacy for Tellico Village representation on the Loudon County budget committee (voted down 8-2, but raising the issue publicly), the Bat Creek vagrant remediation (accomplished at zero taxpayer cost using surplus guardrails), and the upcoming Asian Carp symposium and farmland preservation act all demonstrate active representation. [Town Hall ~19:12–32:12]
- **Ed Grollemond's rapid mobilization on the Monroe County traffic light demonstrates effective board member advocacy.** Within hours of learning that the Monroe County School Board had rejected TDOT's $60,000 offer for the 411/Davis Ferry intersection improvement, Grollemond organized an email and phone campaign that produced a special session scheduled for Friday night. The $2.2M TDOT-funded traffic light project was at risk of losing its funding allocation. [Board Meeting ~17:03–20:35]
- **Lackey publicly accepted responsibility for the Highway Advisory Committee inaction.** His statement — "We've been remiss in that and I apologize for that... That's on me" — and his commitment to bring the matter before the board in executive session represent the first concrete acknowledgment that the committee's limbo status is a governance failure requiring resolution. [Board Meeting ~33:06–34:36]
- **The board election will not require an election, saving $10,000-$20,000.** With only two nominees (Gary Bush and Gary Zika) for two open positions (Grollemond and Johnson departing), the nominating and election committees unanimously accepted both candidates. A candidate forum is scheduled for October 7. [Board Meeting ~14:06–16:49]

CONCERN 1: WATER/SEWER RATE AD HOC COMMITTEE — ADVISORY COMMITTEE BYPASS CONTINUES INTO NINTH MONTH

1a. The Motion and Its Rationale

Joel Reed moved to establish an ad hoc committee consisting of himself, Claude Thorn, Judy Bedford, Jeff Boerger, Gary Zika, and Carey Brown to develop water/sewer rates compliant with TBOUR requirements for the 2027 budget cycle. David Taylor provided the urgency rationale: "We have to do that in November. We actually have to, you know, look at it very hard in October. And that's not very far away." [Board Meeting ~1:05:05–1:05:26]

1b. Carla Johnson's Objection Was Consistent and Substantive

Johnson identified the pattern explicitly:

> *"This is another bypassing of our finance advisory committee. And typically when things related to water and sewer come up, we also consult with our public services advisory committee... Somebody asked Mike why was the finance advisory committee bypassed and he said that's what we hired Troon for. And the question I asked then was, did we hire Troon to replace all of our advisory committees? And to this date, that question has not been answered." [Board Meeting ~1:02:09–1:03:32]"*

1c. Ed Grollemond Raised a Different but Equally Valid Concern

Grollemond's objection was about expertise, not process: "I want somebody that's done this stuff multiple times before. This is new for most of these people here and that worries me because it's a big deal on our water rates." [Board Meeting ~1:03:56–1:04:18]

Taylor's rebuttal — "Nobody has done this before. We are unique" — is factually accurate regarding the POA-as-utility-district structure, but does not address Grollemond's underlying point: rate-setting methodology is well-established even if the institutional form is novel. The engagement with ratestudies.com (disclosed in July) was referenced as a backstop, but Taylor described it as consultative rather than directive: the firm would be "available if Claude seeks them out to be consulted along the way." [Board Meeting ~1:06:06–1:06:40]

1d. The Pattern Is Now Nine Months Long

- December 2025: FSAC recommendations overridden wholesale.
- January 2026: Committee chair nominated by board liaison.
- February 2026: Ad hoc committees populated without disclosure.
- March 2026: FSAC sub-committee chair selected by board liaison.
- April 2026: PSAC's 5-2 CTI recommendation rejected.
- May 2026: C2RL task order issued without PSAC/FAC review.
- June 2026: $5.6M reserve transfer and WSIAF refund passed without FAC/Audit review; FAC chair resigned.
- July 2026: C2RL engineering approved without PSAC or FAC review.
- **September 2026: Water/sewer rate ad hoc committee formed with two non-committee members, bypassing both FAC and PSAC. Vote: 5-2.**

The board majority has the legal authority under Article VI, Section 2 of the bylaws to "appoint, abolish, merge or split other committees as it deems desirable." The concern is not legal but institutional: when the board's response to every consequential decision is to create a new ad hoc body that excludes the standing committees designed to provide independent review, those committees become ceremonial rather than functional.

CONCERN 2: TROON SAVINGS CLAIM — SIGNIFICANT BUT UNVERIFIABLE

2a. Thorn's Claim

At the board meeting, Claude Thorn stated:

> *"Troon has already brought to bear recognized savings, not potential savings, recognized savings in five months in excess of our one-year contract fee. So, we really are zero cost to you." [Board Meeting ~38:24–38:52]"*

He added: "The board has the details or is receiving the details of all those itemized items." [Board Meeting ~38:42–38:52]

2b. What the Community Can Verify

CFO Bedford confirmed at the town hall that Troon's year-to-date cost through July was "around 133 or 134,000." [Town Hall ~57:33–57:43] She explained the structure: a fixed monthly component (Thorn's salary) plus variable charges for advisory services consulting and travel. Bedford also confirmed the board's plan to fund Troon from the $1.3M wages/benefits underspend. [Town Hall ~58:19–58:44]

Lackey had previously disclosed a contract range of "$400,000 to $600,000 for the year" in June. If the $133-134K represents May through July (three months), the annualized rate of approximately $534K falls within that range.

2c. The Savings Claim Cannot Be Independently Verified

Thorn cited specific examples: 8% savings on 180 golf carts over five years, $60,000 in avoided return-shipping costs, a $25,000 food and beverage consulting engagement provided at no incremental cost, 4-5% food vendor savings on a $1M annual spend, and improved Titleist purchasing terms. These are plausible but the community has no access to the "itemized items" Thorn referenced. For the "zero cost" claim to be verifiable, the board should publish a summary of recognized savings alongside actual Troon invoicing — not the contract details, but the cost-benefit accounting.

2d. Cross-Reference to Prior Claims

The savings narrative has evolved across meetings:

- **May 7**: Lackey claimed "30% overall savings" against eliminated executive positions, but declined to disclose the contract amount.
- **June**: Lackey disclosed "$400,000 to $600,000 for the year."
- **September**: Thorn claims savings exceed the one-year contract fee.

If the contract fee is approximately $500K (midpoint of Lackey's range) and Thorn's savings claim is accurate, the net impact is favorable. But these are Troon's own calculations about

Troon's own value. An independent assessment — even a brief one from the FAC — would give the claim credibility it currently lacks.

CONCERN 3: BALANCED SCORECARD DEFERRED — FIRST MISS IN THE PROGRAM'S HISTORY

3a. The Announcement

Joel Reed stated:

> *"We're not going to be presenting the August scorecard today. It's not ready for this meeting. Several necessary modifications need to be made to ensure the information is accurate, clear, and concise." [Board Meeting ~51:43–52:00]"*

He committed to publishing it on the POA website when complete.

3b. Assessment

The balanced scorecard has been presented at every board meeting since its January 2026 introduction. This is the first deferral. Reed's stated reason — accuracy and clarity — is reasonable; presenting inaccurate data would be worse than presenting none. However, the scorecard was the centerpiece of the Tellico Smart platform's "Foster Continuous Improvement" pillar, and its public presentation at board meetings was explicitly designed to provide community accountability. Publishing it online without a board meeting presentation reduces its visibility and eliminates the opportunity for real-time questions.

The community should expect the August scorecard to appear on the website within days, and the September scorecard to be presented at the October board meeting with an explanation of what modifications were required.

CONCERN 4: PERMANENT GM SEARCH — STILL OPAQUE AFTER TEN MONTHS

4a. The Question

Online questioner David Gillum asked: "What is the status of the permanent general manager search?" [Board Meeting ~46:11–46:21]

4b. Lackey's Response

> *"We are discussing at a board level with Troon and that's not something that we will bring up in front of everybody at this time because we're still trying to outline the conditions and everything to make that happen." [Board Meeting ~46:30–46:51]"*

4c. The Sequence of Non-Answers

This is now the seventh consecutive month in which the GM search has received a non-substantive response:

- **March 2026**: "We still haven't defined it. We don't know who we're writing a contract with."
- **April 2026**: "Negotiations and final best offers from our vendors."
- **May 7, 2026**: Troon and Thorn announced as IEL for 12 months.
- **May 20, 2026**: No further update.
- **June–August 2026**: No substantive update.
- **September 2026**: "We are discussing at a board level with Troon."

The RFI document in the reference files states the IEL engagement was anticipated for "approximately 12 months." Thorn started May 4, 2026, which places the approximate end date at May 2027. The board should, at minimum, disclose whether the permanent GM search will begin before, during, or after the conclusion of the Troon engagement — and whether Troon or its employees will be eligible candidates.

CONCERN 5: GROUNDWATER STORAGE TANK LEAK — MANAGEABLE BUT REQUIRES TRANSPARENT FOLLOW-UP

5a. The Disclosure

Lackey provided a detailed explanation of the leak at the main village groundwater storage tank near the wellness center:

> *"Someone went up there and tried to attach an antenna to it. And when they drilled through the side of that tank, it bored through the pre-stressed reinforced concrete and the reinforcing bands... We put a patch on it... The patch didn't hold." [Board Meeting ~48:56–49:27]"*

5b. The Plan

The POA has asked PSAC to authorize draining the tank (reducing total storage by 9%) and engaging Crom — the original tank builder — to evaluate the condition of the pre-stressed concrete, liners, and rebar. Lackey estimated relining at "probably less than a million dollars versus the $9 million that was originally budgeted for a new water tank." [Board Meeting ~50:34–50:41]

5c. Assessment

Lackey's framing was appropriately measured: 9% of total storage capacity (approximately 500,000 gallons out of 5.3 million) with TDEC requiring one day's supply and the village maintaining approximately five days' worth. The immediate risk is low. However, the timing is notable — this disclosure came just one day after the town hall where Lackey stated "we don't

have a tank failure problem" and "our storage is actually for them [LUB]." [Town Hall ~2:03:12–2:03:51] The town hall statement was not inaccurate — the system is not failing — but the juxtaposition with the board meeting disclosure about a failed patch and required draining suggests the community would benefit from a consolidated water infrastructure status update at the October town hall.

CONCERN 6: TROON PROJECT PLAN — STILL NOT PUBLICLY SHARED

Online questioner Linda Garza asked: "Was a project plan put together for the Troon relationship that includes the project scope, timelines, resources, and financial expectations?" [Town Hall ~2:02:32]

Lackey's response: "It was part of their RFP that we put out to them and they have that and it's contractual document and other than the fact that it's out there and we've agreed to it, we're not going to go much further into that." [Board Meeting ~2:02:41–2:02:57]

This is the same response pattern documented since March: the RFI and project scope are characterized as confidential contractual documents despite the RFI text in the reference files containing no proprietary information. David Taylor's March commitment to share "how and why we made the selection" after the selection was made remains unmet six months later.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

- **$2M federal grant**: Bedford has submitted close to $3 million in claims per prior reports. No further update this month. **(SUBSTANTIALLY RESOLVED)**
- **Kahite lift station engineering**: C2RL design submission expected "end of this month or certainly by the end of next" to TDEC per Lackey. [Town Hall ~1:37:48–1:38:00] TDEC approval of the approach was confirmed in August. **(PROGRESSING)**
- **Water/sewer rate study**: Lackey confirmed prior engagement with ratestudies.com. The new ad hoc committee is tasked with developing rates for the 2027 budget by November. Taylor referenced ratestudies.com as available for consultation. **(PARTIALLY RESOLVED — ad hoc committee formed; no independent study contracted)**
- **WSIAF refund process**: Thorn confirmed at August town hall that processing began August 24. Refunds being processed neighborhood by neighborhood through approximately 7,000 accounts. **(RESOLVED — implementation underway)**

- **TBOUR jurisdictional transfer**: Loudon County approved the petition per prior reports. Monroe County status unclear. TPUC lawsuit dismissal expected but not confirmed. **(PROGRESSING — no update this month)**
- **Troon/IEL contract cost**: Lackey disclosed a range of $400,000 to $600,000 in June. Bedford confirmed $133-134K year-to-date through July. Thorn claims savings exceed one-year contract fee. The precise contract amount remains undisclosed. **(NO FURTHER UPDATE on precise figure)**
- **Standard process for committee appointments**: Assigned to nominating committee January 2026. **(NO UPDATE)**
- **Parks & Rec unauthorized use**: No cost recovery plan presented. **(NO UPDATE)**
- **Reserve study errors**: No formal community communication. **(NO UPDATE)**
- **Communications Advisory Committee**: Eliminated months ago with no explanation, vote, or follow-up. **(NO UPDATE)**
- **Highway Advisory Committee dissolution**: Lackey publicly acknowledged the board has been "remiss" and committed to bringing the matter to executive session. Deb Marshall's formal request for a determination was received. **(PROGRESSING — first substantive board acknowledgment)**
- **RFI/selection criteria disclosure**: Taylor's March commitment to share selection rationale remains unmet. **(NO UPDATE)**
- **Director of Parks and Recreation vacated**: No replacement announced. **(NO UPDATE)**
- **TVN broadcast cancellation policy**: No written policy developed or presented despite commitment in June. **(NO UPDATE)**
- **Pre-meeting invocation practice**: **(NO UPDATE)**
- **Cease-and-desist letters sent to property owners**: A resident responded in writing to the POA's attorney requesting specific evidence. No response received to date. **(NO UPDATE)**
- **No memorial/marker policy exists**: **(NO UPDATE)**
- **Residential tank replacement program recommended but undefined**: C2RL recommended replacing all 750- and 1,000-gallon residential sewer tanks over approximately 10 years, but cost and funding are "yet to be determined" per Lackey. **(NO UPDATE)**

NEWLY IDENTIFIED ITEMS

- **Groundwater storage tank leak**: Main village tank near wellness center requires draining, inspection by Crom (original builder), and likely relining. Estimated cost under $1M vs. prior $9M new-tank estimate. Represents 9% of total storage. Timeline for inspection and repair not specified.

- **Food purveyor contract may not exist**: Thorn disclosed: "We use a food purveyor right now that we're pretty sure we have a contract with. I'm just going to be blunt. We don't have a copy of it." [Town Hall ~1:01:04–1:01:10] If no executed contract exists, the POA may be free to switch to a Troon-affiliated vendor for 3-6% savings on approximately $1M annual spend. If a contract does exist, the POA needs to locate it before making vendor changes.
- **Balanced scorecard deferred for the first time**: August scorecard not presented due to required modifications. Committed to website publication. No timeline specified.
- **Board election cancelled**: Two nominees for two positions. Candidate forum October 7. Savings of $10,000-$20,000 in election costs.
- **Monroe County School Board threatened 411/Davis Ferry traffic light funding**: TDOT's $2.2M project at risk after school board rejected $60,000 land offer and countered at $250,000. Special session Friday. Grollemond mobilized community response within hours.
- **Tanasi building safety — golf ball exposure and kitchen equipment under vent hoods**: Thorn disclosed that equipment at the Yacht Club kitchen was moved "four, five, six inches" from under vent hoods, reducing hood effectiveness. He clarified the Ansul fire suppression system still covers the equipment. Separately, golf balls from the 9th hole are hitting the Tanasi building, with dents already visible. Solutions (trees vs. netting) remain under discussion. Fire department inspections of all POA facilities are being scheduled on a six-month cycle, including surprise inspections. [Town Hall ~1:27:36–1:43:56]
- **Capital request form modernization**: Joel Reed continued to push for ROI methodology improvements (raised in August), suggesting the current form's IRR requirement is "archaic." No formal update on whether the form has been revised.

CONCLUSION

September 2026 was an efficient, controversy-free pair of meetings — a welcome operational respite that produced strong capital decisions (the Kahite fence), genuinely useful benchmarking data (food and beverage), and the first public acknowledgment of the Highway Advisory Committee limbo. The Tanasi restaurant's performance is a concrete success story. Matt Benoit's infrastructure presentations continue to set the standard for due diligence. Lackey's conflict-of-interest abstention on the fence vote was textbook governance.

The concerns documented here are structural rather than acute. The advisory committee bypass pattern has now persisted for nine consecutive months, with Johnson's unanswered question — "Did we hire Troon to replace all of our advisory committees?" — becoming the defining governance question of this board's tenure. Thorn's "zero cost" savings claim is plausible but unverifiable without the itemized data he says the board is receiving. The permanent GM search remains opaque after ten months. The balanced scorecard's first deferral, while understandable, should be a one-time event rather than a precedent. And the

growing list of open items that receive "NO UPDATE" month after month — cease-and-desist letters, memorial policy, Parks & Rec director vacancy, residential tank replacement costs, reserve study errors — suggests that governance attention is being consumed by operational management at the expense of policy completion.

The board's substantive achievements are real. Its unfinished governance business is also real. Both deserve the community's attention.

Community members should watch for the following at the October meetings:

- Whether the Monroe County School Board approves the TDOT land acquisition at its Friday special session, preserving the $2.2M traffic light project.
- Whether the balanced scorecard returns to the board meeting presentation with an explanation of what modifications were required.
- Whether the Kahite pump station design is submitted to TDEC by month-end as Lackey indicated.
- Whether the water/sewer rate ad hoc committee produces preliminary rate recommendations for board review before the November budget cycle.
- Whether the candidate forum on October 7 produces substantive policy commitments from Gary Bush and Gary Zika on the open governance questions tracked in this series.
- Whether the board formally votes on the Highway Advisory Committee's status — dissolution, reconstitution, or charter revision — as Lackey committed to bringing to executive session.
- Whether the groundwater storage tank inspection timeline is established and communicated.
- Whether the food purveyor contract is located — or confirmed non-existent — enabling a vendor decision.
- Whether any of the long-deferred items (cease-and-desist policy, memorial/marker policy, Parks & Rec director, reserve study error communication) receive attention before the outgoing board members' final meetings.
- Whether the Troon savings itemization is published or summarized for community review, as Thorn indicated the board "has or is receiving" the details.

This report covers the September 14, 2026 Town Hall and September 16, 2026 Board Meeting. Previous reports in this series cover December 2025 through August 2026.